

**SUBSTITUTE FOR
HOUSE BILL NO. 6243**

A bill to amend 2026 PA 32, entitled
"An act to prohibit certain companies from acquiring or purchasing
certain residential property; to provide for the powers and duties
of certain state officers and entities; and to prescribe certain
penalties, civil sanctions, and remedies,"
by amending sections 3 and 7 (MCL 125.853 and 125.857).

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

- 1 Sec. 3. As used in this act:
- 2 (a) "Excepted purchase" means a purchase of a single-family
- 3 home that is any of the following:
- 4 (i) Purchased under a build-to-rent program where the large
- 5 institutional investor purchases, **constructs, or constructs and**
- 6 **retains** newly constructed single-family homes to be managed as
- 7 rental properties, whether as communities exclusively of renter-



1 occupied single-family homes or as communities of single-family
2 homes that are both owner- and renter-occupied. **As used in this**
3 **subparagraph, "communities of single-family homes" includes, but is**
4 **not limited to, all of the following:**

5 (A) **Communities composed of only single-family homes.**

6 (B) **Communities composed of single-family homes and multi-**
7 **family residential structures.**

8 (C) **Communities composed of residential and commercial or**
9 **other structures.**

10 (ii) Purchased pursuant to a renovate-to-rent program that
11 meets both of the following requirements:

12 (A) Substantially rehabilitates single-family homes that do
13 not meet structural or core system elements of local building
14 codes.

15 (B) Makes improvements in an aggregate dollar amount of not
16 less than 15% of the purchase price of the single-family home.

17 (iii) Purchased pursuant to a homeownership program that meets
18 all of the following requirements:

19 (A) Requires rental payments and any other fees that are not
20 greater than those collected by the large institutional investor on
21 other similarly situated single-family homes not covered by the
22 eligible homeownership program.

23 (B) Is subject to a contract between the large institutional
24 investor and renter that is considered a consumer credit
25 transaction secured by a dwelling or real property.

26 (C) Provides for positive reporting of rental payments to
27 consumer reporting agencies for any renter who is informed of and
28 opts into the reporting.

29 (D) Requires contribution of meaningful financial support from



1 the large institutional investor, including price concessions, for
2 the purchase of the single-family home by the renter.

3 (iv) Purchased pursuant to a program to boost homeownership
4 that meets all of the following requirements:

5 (A) Provides for positive reporting of rental payments to
6 consumer reporting agencies for any renter who is informed of and
7 opts into the reporting.

8 (B) Provides for a right of first refusal and a 30-day first
9 look period.

10 (C) May provide meaningful financial support from the large
11 institutional investor, including price concessions, to the renter
12 for the purchase of a single-family home by the renter. The
13 meaningful financial support may be for the purchase of the single-
14 family home the renter occupies or another home.

15 (v) Purchased **or received** by a mortgage servicer, lender,
16 **landlord**, or other entity that has a legal right to the single-
17 family home, not as a long-term investment strategy, but to
18 mitigate loss or comply with servicing or investor obligations, **to**
19 **mitigate loss from unpaid rent or other obligations under a rental**
20 **agreement**, and only as a result of a foreclosure, a deed-in-lieu of
21 foreclosure, **a lien sale**, an enforcement of a mortgage, deed of
22 trust, or other security interest, **an abandonment of a structure on**
23 **a landlord's property**, or an operation of law following a borrower
24 default. A single-family home purchased **or received** under this
25 subdivision must be disposed of within a commercially reasonable
26 period after acquisition.

27 (vi) Purchased from a large institutional investor if the
28 selling large institutional investor owned the single-family home
29 on or before July 21, 2026 or purchased the single-family home in



1 compliance with this act. A large institutional investor that
 2 purchases a single-family home under this subdivision may
 3 demonstrate compliance with this subdivision by receiving a
 4 certificate from the seller of the single-family home that attests
 5 to all of the following:

6 (A) The seller is a large institutional investor.

7 (B) The seller owned the property as of July 21, 2026.

8 (C) If the seller did not own the property as of July 21,
 9 2026, the seller purchased the single-family home from a large
 10 institutional investor in compliance with this act.

11 (b) "Large institutional investor" means an investment fund,
 12 corporation, general or limited partnership, limited liability
 13 company, joint venture, association, or other for-profit entity
 14 that meets all of the following requirements and is not a local,
 15 state, tribal, or federal government entity or instrumentality of a
 16 local, state, tribal, or federal government entity:

17 (i) Is engaged, in whole or in part, in the business of
 18 investing in, owning, renting, managing, or holding single-family
 19 homes.

20 (ii) Beginning ~~on the effective date of this act,~~ **July 21,**
 21 **2026**, alone or in concert with 1 or more other entities, directly
 22 or indirectly has investment control of more than 100 single-family
 23 homes in the aggregate in this state. ~~, not including a~~ **Both of the**
 24 **following are excluded from the aggregation of single-family homes**
 25 **controlled under this subparagraph:**

26 (A) A single-family home purchased as an excepted purchase
 27 ~~made after the effective date of this act.~~ **July 21, 2026.**

28 (B) A single-family home that qualified as an excepted
 29 purchase under subsection (a) that was purchased from a large



1 **institutional investor.**

2 (iii) ~~Manages or has a net value of~~ **Has assets under management**
 3 **of** \$375,000,000.00 or more at any point during the taxable year the
 4 investor purchases or seeks to purchase a single-family home in
 5 this state.

6 (c) "Purchase" means to purchase, transfer, or otherwise
 7 acquire a single-family home, including through merger,
 8 acquisition, construction, foreclosure, or bulk purchase, whether
 9 or not for cash consideration.

10 (d) "Single-family home" means a structure that contains 2 or
 11 fewer dwelling units that are each intended for residential
 12 occupancy by a single household. Single-family home does not
 13 include a **mobile home or a** manufactured home. As used in this
 14 subdivision: ~~,"manufactured~~

15 (i) **"Manufactured** home" means that term as defined in 42 USC
 16 5402.

17 (ii) **"Mobile home" means that term as defined in section 2 of**
 18 **the mobile home commission act, 1987 PA 96, MCL 125.2302.**

19 Sec. 7. (1) Except as otherwise provided in this section, a
 20 large institutional investor shall not purchase or enter into a
 21 contract to directly or indirectly purchase a single-family home in
 22 this state.

23 (2) The prohibition under subsection (1) does not apply to any
 24 of the following:

25 (a) An excepted purchase.

26 (b) The purchase of a single-family home in connection with a
 27 restructuring or other reorganization of ownership of single-family
 28 homes that were owned or purchased on or before ~~the effective date~~
 29 ~~of this act.~~ **July 21, 2026.**



1 (c) The purchase, ownership, development, rehabilitation,
2 preservation, financing, or operation of a single-family home
3 pursuant to a brownfield plan, work plan, or housing development
4 activity approved by the Michigan state housing development
5 authority under the brownfield redevelopment financing act, 1996 PA
6 381, MCL 125.2651 to 125.2670. As used in this subdivision,
7 "brownfield plan", "housing development activity", and "work plan"
8 mean those terms as defined in section 2 of the brownfield
9 redevelopment financing act, 1996 PA 381, MCL 125.2652.

10 (d) The purchase of a single-family home that is constructed,
11 rehabilitated, or otherwise designed as a dwelling unit and meets
12 both of the following qualifications:

13 (i) Is approved by the Michigan state housing authority.

14 (ii) Is rented by an income qualified household as that term is
15 defined in section 2 of the brownfield redevelopment financing act,
16 1996 PA 381, MCL 125.2652.

17 **(e) The purchase of a single-family home that qualified as an**
18 **excepted purchase under section 3(a) (i) from a large institutional**
19 **investor or was constructed as part of a build-to-rent program.**